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Southern Europe's VC market finds its footing again

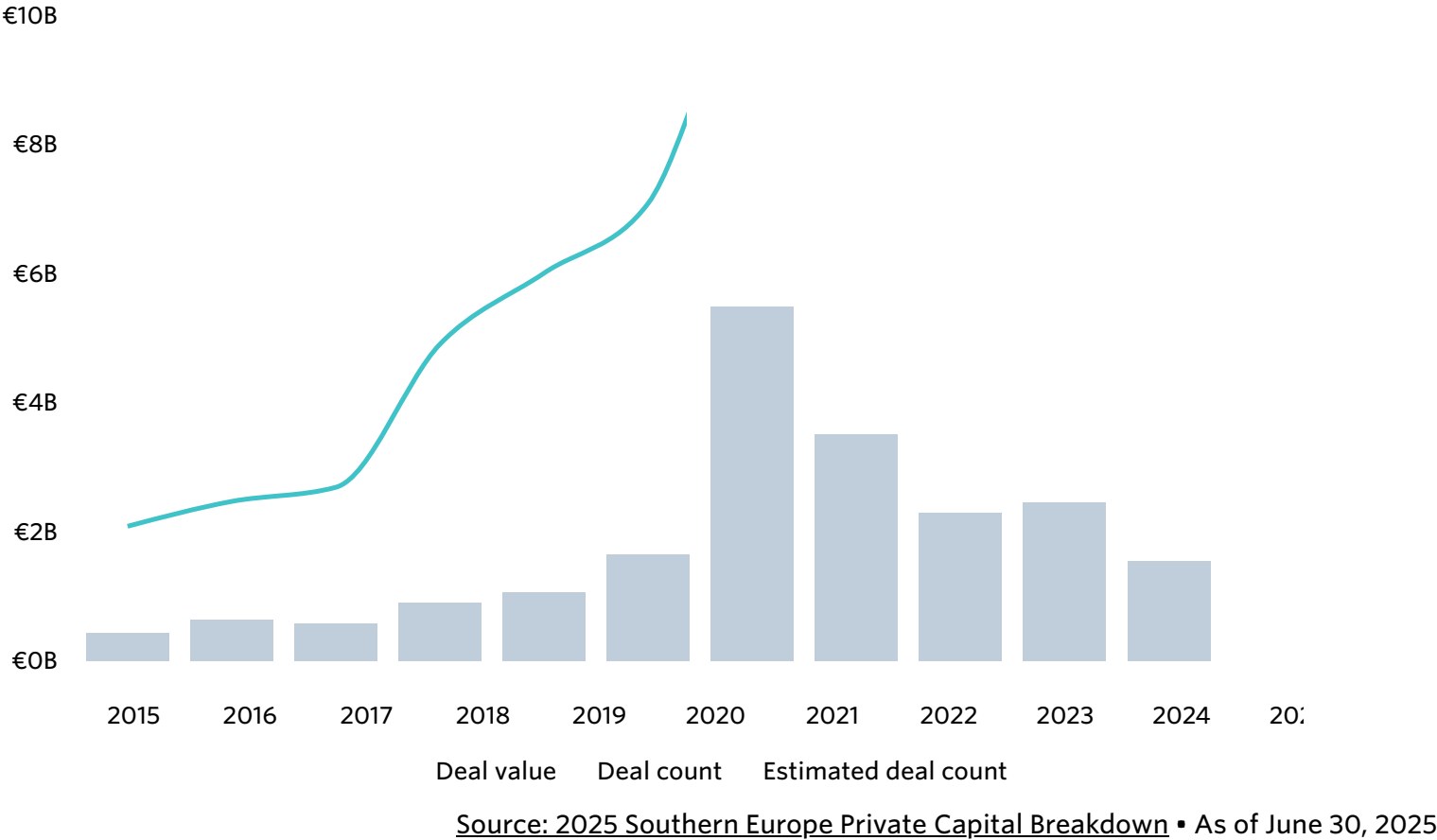
By Leah Hodgson

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VCs are investing more in Southern European startups despite a decline in overall funding for the continent.

According to PitchBook's [2025 Southern European Private Capital Breakdown](#), startups in the area raised a total of €2.9 billion (about \$3.4 billion) in the first half of the year. At the current pace, 2025's annual deal value would land 24.4% higher than for 2024.

Southern European VC deal value bounces back



While the sub-region is experiencing an uptick in funding, Europe as a whole is 4.5% below 2024 investment levels as of June 30.

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In recent years, government support has been a key factor in developing Southern Europe’s startup scene. Portugal launched a government-backed initiative in 2018 to strengthen its entrepreneurial ecosystem, offering support including funding, mentorship networks and a startup visa aimed at attracting foreign talent.

Similarly, in 2021, Spain introduced a national entrepreneurial strategy to increase investment capacity, attract global talent and support scale-ups. National and regional

authorities have also backed accelerators and events to help startups connect with institutional and corporate capital.

Spain remains Southern Europe’s dominant VC market, claiming 60.1% of investment in H1 2025. Only one of the sub-region’s top 10 deals occurred outside the country. Notable rounds included ridehailing company [Auro](#)’s €220 million venture-growth investment from [Uber](#) and quantum computing startup [Multiverse Computing](#)’s \$215 million Series B led by [Bullhound Capital](#).

AI is leading investment in Southern Europe, attracting €1 billion of capital during the first half of the year. At this rate, the vertical is expected to reach a record deal value this year. Other verticals that have performed well so far this year include life sciences, which surpassed its 2024 deal value in just six months, and fintech.

Featured image by Eloi_Omella/Getty Images

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About [Leah Hodgson](#)

Leah Hodgson is a London-based senior reporter for PitchBook, covering the venture capital ecosystem across Europe and the Middle East. Leah, who joined PitchBook in 2018, graduated from the University of Surrey with a BA in international politics with French. She has previously been a radio reporter in France. She later turned to financial journalism, covering the wealth management industry.

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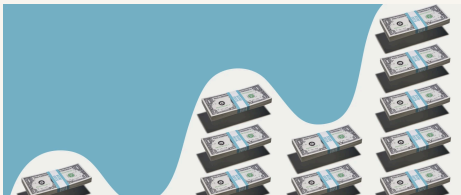
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